

EZCA

LIMITED LIABILITY PARTNERSHIP ACT, 2008

🔍 KEYWORDS MINI REVISION FOR YOUR LAST MOMENT REVISION

Notified: 9 Jan 2007 | Assent: 7 Jan 2009 | Effective: 31 March 2009

1. INTRODUCTION

Key Fact	Detail
LLP Act Notified	9 January 2007
Bill Passed	12 December 2008
President's Assent	7 January 2009
Applicable To	Whole of India
Effective From	31 March 2009
Total Sections	81 Sections
Total Schedules	4 Schedules

2. SCHEDULES ★★★

Schedule	Covers
First Schedule	Mutual rights & duties of partners & LLP — applies when NO formal agreement exists
Second Schedule	Conversion of a Partnership Firm into LLP
Third Schedule	Conversion of a Private Company into LLP
Fourth Schedule	Conversion of an Unlisted Public Company into LLP

3. NEED OF LLP ★★★

Problem with Existing Forms	What LLP Solves
Traditional Partnership → Unlimited liability	Partners' liability is LIMITED to agreed contribution
Company → Rigid legal structure	Flexible internal governance through LLP Agreement
High compliance cost in companies	Low compliance cost
Less entrepreneurial freedom	Maximum flexibility for partners

LLP = Benefits of Limited Liability of Company + Flexibility of Partnership

4. MEANING OF LLP ★★★

LLP is

A new legal business entity — separate legal entity — alternative corporate business vehicle — hybrid of company & partnership.

Main Features

- ▶ **LLP Liability:** Liable to full extent of its assets
- ▶ **Partner Liability:** Limited to agreed contribution — NOT personally liable
- ▶ **Internal Governance:** Flexible through LLP Agreement

5. IMPORTANT DEFINITIONS ★★★

Section	Term	Meaning
S.2(1)(d)	Body Corporate	Includes: Company, LLP, Foreign LLP, Foreign Company. Excludes: Corporation sole, Co-operative society, Notified bodies
S.2(1)(e)	Business	Includes: Trade, Profession, Service, Occupation. Excludes: Activities notified by Central Govt.
S.2(1)(j)	Designated Partner	Partner designated under Section 7 of LLP Act
S.2(1)(k)	Entity	Any body corporate; includes partnership firm for specific purposes
S.2(1)(m)	Foreign LLP	LLP formed outside India that establishes place of business in India
S.2(1)(n)	LLP	Partnership formed AND registered under LLP Act 2008
S.2(1)(o)	LLP Agreement	Written agreement between partners / LLP & partners determining rights & duties

S.2(1)(l) Financial Year ★

1 April → 31 March. If incorporated AFTER 30 September → FY may end next following March.
Example: Incorporated 15 Oct 2019 → FY may end 31 March 2021.

S.2(1)(ta) Small LLP ★

Contribution ≤ ₹25 lakh (or prescribed limit ≤ ₹5 crore) AND Turnover ≤ ₹40 lakh (or prescribed limit ≤ ₹50 crore).

6. NON-APPLICABILITY ★★★

Section 4 → Indian Partnership Act, 1932 is NOT applicable to LLP

7. PARTNERS ★★★

Section 5	Who CAN be a Partner	Who CANNOT be a Partner
	Individual	Person of unsound mind
	Body Corporate	Undischarged insolvent
		Person who has applied for insolvency

8. MINIMUM PARTNERS ★★★

Section 6	Minimum = 2 partners at all times.
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⚠ If LLP continues with only 1 partner for more than 6 months → that sole partner becomes **PERSONALLY LIABLE** for all debts

9. DESIGNATED PARTNERS ★★★

Requirement	Rule
Minimum Designated Partners	2 at all times
Must be	Individuals only (not body corporate)
Residency	At least 1 must be resident in India
Resident in India means	Stayed in India for ≥ 120 days during the financial year
If all partners are Body Corporate	Their nominees act as designated partners

10. CHARACTERISTICS OF LLP ★★★★★

Body Corporate	Perpetual Succession	Separate Legal Entity	Mutual Agency	LLP Agreement
Artificial Legal Person	Common Seal	Limited Liability	Business Mgmt	Min & Max Partners
Profit Motive Only	Investigation	Compromise/Arrangement	Conversion	E-Filing
				Foreign LLPs

★ SUPER IMPORTANT LIST — All 16 characteristics are exam-ready above

11. EXPLANATION OF CHARACTERISTICS ★★★

1	Body Corporate LLP is a legal entity separate from its partners.
2	Perpetual Succession Death / retirement / insolvency of partner does NOT affect LLP's existence.
3	Separate Legal Entity LLP is separate from partners. Creditors are creditors of LLP only — not of individual partners.
4	Mutual Agency ★ Partner = agent of LLP. NOT agent of other partners. (Key difference from partnership firm)
5	LLP Agreement Governs mutual rights & duties of partners and LLP.
6	Artificial Legal Person Can own property, enter contracts, sue/be sued. CANNOT marry, take oath, or go to jail.
7	Common Seal Optional — not mandatory under LLP Act.
8	Limited Liability ★ Partners liable ONLY to their agreed contribution. No personal liability beyond that.
9	Management Partners manage business. Designated partners handle statutory compliances.
10	No Maximum Partners Minimum = 2. No maximum limit prescribed.
11	Profit Motive LLP cannot be formed for charitable purpose.
12	Investigation Central Government can investigate LLP affairs.
13	Compromise / Arrangement Includes merger & amalgamation of LLPs.
14	Conversion into LLP Firm / Private Company / Unlisted Public Company can convert into LLP.
15	E-Filing All documents filed electronically on MCA portal.

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Foreign LLP

A Foreign LLP can become a partner in an Indian LLP.

12. ADVANTAGES OF LLP ★★★

Organised by Agreement

Flexible Structure

Easy Formation

Limited Liability

Flexible Capital Structure

Easy Dissolution

13. INCORPORATION OF LLP ★★★★★**Section 11**

Minimum 2 persons required. Must file Incorporation Document with ROC. Business must be lawful with profit motive.

Compliance Statement (Must be filed by)

Advocate

Company Secretary (CS)

Chartered Accountant (CA)

Cost & Mgmt Accountant (CMA)

Incorporation Document Must Contain

- ▶ Name of LLP
- ▶ Proposed business of LLP
- ▶ Registered office address
- ▶ Details of partners
- ▶ Details of designated partners

False Statement Punishment → Imprisonment up to 2 years + Fine ₹10,000 to ₹5 lakh**14. INCORPORATION BY REGISTRATION ★★★****Section 12**

ROC shall within 14 days of filing → Register the LLP & Issue Certificate of Incorporation (COI).

Certificate of Incorporation = CONCLUSIVE EVIDENCE that LLP is incorporated**15. REGISTERED OFFICE ★★****Section 13****Rule**

Requirement	Every LLP must have a registered office at all times
Penalty for default	₹500 per day
Maximum penalty	₹50,000

16. EFFECT OF REGISTRATION ★★★

Sue & Be Sued

Own Property

Have Common Seal

Do All Lawful Acts

Section 14

On registration LLP becomes a body corporate with perpetual succession — separate from partners.

17. NAME PROVISIONS ★★★

Section	Rule
S.15 — Name Requirement	Must end with 'Limited Liability Partnership' OR 'LLP'
S.15 — Prohibited Names	Cannot be undesirable / identical / similar to existing LLP, company or trademark
S.16 — Reservation of Name	Registrar may reserve name for 3 months
S.17 — Change of Name	CG may direct change if name is identical/similar to existing company or trademark
S.17 — Time Limit	LLP must change name within 3 months of direction
S.17 — Intimation	LLP must inform Registrar within 15 days of name change

20. LLP vs PARTNERSHIP FIRM ★★★★★

Basis	LLP	Partnership Firm
Governing Act	LLP Act, 2008	Indian Partnership Act, 1932
Body Corporate Status	Yes — body corporate	No — not body corporate
Separate Legal Entity	Yes	No
Registration	Mandatory	Voluntary
Liability of Partners	Limited to contribution	Unlimited
Perpetual Succession	Yes	No
Mutual Agency	Partner = agent of LLP only	Partner = agent of firm & all partners
Common Seal	Optional	Not applicable
Foreign Partner	Allowed	Not allowed
Minor as Partner	Cannot become partner	Can get benefits of partnership

📌 MOST IMPORTANT TABLE — Very Frequently Asked in Exams

21. LLP vs COMPANY ★★★★★

Basis	LLP	Company
Governing Act	LLP Act, 2008	Companies Act, 2013
Members Called	Partners	Shareholders / Members
Internal Governance	LLP Agreement (flexible)	Statute (rigid)
Liability	Limited to agreed contribution	Limited to unpaid share value
Management	By partners	By Board of Directors
Minimum Members	2 partners	2 (Pvt) / 7 (Public)
Maximum Members	No limit	200 (Pvt) / No limit (Public)
Audit	Not mandatory for all	Mandatory

🔍 📌. GOLDEN EXAM LINES

LLP = Hybrid of Company + Partnership

Partner is agent of LLP — NOT agent of other partners

LLP has a separate legal entity distinct from its partners

Liability of partners is limited to their agreed contribution only

Indian Partnership Act, 1932 is NOT applicable to LLP (Section 4)

All the best! You've got this 📌

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